

August 5, 2026 06:19 AM GMT

Infineon Technologies AG | Europe

AI DC Thesis Confirmed

AlphaSignals Earnings Reaction

Strengthens our thesis Impact to our thesis	↑ Modest upside Financial results versus consensus	↑ Modest revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- Raises FY26 guide on increase in AI D/C demand (prior 'grow moderately' yy) and increases data centre sales targets for FY26/27.
- FY26 GM% unchanged at low-to-mid 40s% with a c.20% segment (unchanged) in-line with consensus (19.9%).
- Q3 sales/margins ahead of expectations but Q4 guide is better with €4.7bn sales (cons €4.6bn) - growth qq seen in all segments (including autos).
- Autos growth helped by share gains with SDVs; PSS growing significantly more than group whilst industrials seen rising moderately this year.
- The analyst call is at 09:30 CET today.

First Take. The growth in PSS, driven by data centres, this year continues to stand out. Automotive meantime seems to be improving, we think due to MCU traction in SDVs. We expect CSS to be in recovery and GIP to benefit from continued AI infrastructure trends. Margins, described again as low-to-mid 40s%, straddle consensus (c.43%) for FY26, the segment result (guided to c.20%) is also reiterated. Infineon keeps the guide for investments at €2.7bn, with focus on build-out of capacity for the AI data centre ramp (mainly at Dresden). The company raised its guide for AI data centre sales to more than €1.6bn this year (prior €1.5bn) and 'materially upgrade' their projection of c.€2.5bn next year. This was accompanied by commentary of several multi-year capacity reservation agreements with several customers of €HSDbn value. The Q4 sales guide is marginally ahead of expectations at c.€4.7bn sales (cons €4.6bn) with all segments growing qq. At this point we think roughly €0.60 is implied for adjusted EPS.

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Infineon Technologies AG (IFXGn.DE, IFX AV)

ADRIFNNY.PK	
Technology - European Semiconductors Germany	
Stock Rating	Overweight
Industry View	In-Line
Price target	€91.00
Shr price, close (Aug 4, 2026)	€63.72
52-Week Range	€88.83-30.82
Mkt cap, curr (mn)	€82,948
Net debt (12/26e) (mn)*	€2,599
EV, curr (mn)*	€88,277

* = GAAP or approximated based on GAAP

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Exhibit 1: Infineon: Comparing Actuals with Consensus

	3Q26				4Q26e			
	Actual	MSe	Cons	Actual vs. Cons	Guide	MSe	Cons	Guide vs. Cons
Revenue	4,172	4,106	4,131	1%	4,700	4,590	4,619	2%
Automotive (ATV)	1,932	1,898	1,889	2%		2,125	2,070	
Green Industrial Power (GIP)	447	451	459	-3%		519	502	
Power & Sensor Systems (PSS)	1,442	1,399	1,421	1%		1,549	1,645	
Connected Secure Systems (CSS)	350	357	360	-3%		397	414	
Gross profit (Adj.)	1,786	1,811	1,762	1%		2,053	2,079	
Gross margin (Adj.) (%)	42.8%	44.1%	42.6%	15bps		44.7%	45.0%	
Segment Result (Adj. EBIT)	797	860	817	-2%	1,081	997	1,121	-4%
Segment margin (%)	19.1%	20.9%	19.8%	-68bps	23.0%	21.7%	24.3%	-127bps
Adjusted EPS (€) - Diluted	0.44	0.47	0.44	0%		0.58	0.65	

	FY26e				FY27e			
	Guide	MSe	Cons	Guide vs. Cons	Guide	MSe	Cons	Guide vs. Cons
Revenue	16,347	16,170	16,216	1%	18,138	18,138	19,216	
of which automotive		7,674	7,638			7,809	8,419	
Gross profit (Adj.)		7,002	6,986			8,488	8,906	
Gross margin (Adj.) (%)	low to mid 40%	43.3%	43.1%			46.8%	46.3%	
Segment Result (Adj. EBIT)	3,269	3,165	3,227	1%	4,512	4,512	4,783	
Segment margin (%)	20%	19.6%	19.9%	10bps	24.9%	24.9%	24.9%	
Adjusted EPS (€) - Diluted		1.74	1.76			2.75	2.73	

Source: Company data, Morgan Stanley Research estimates (e)

Valuation Methodology and Risks

Infineon Technologies AG (IFXGn.DE)

We apply a 50x P/E multiple to the server rack contribution as we think the structural driver deserves a premium to the rest of the group. We continue to view the rest of the group as a cyclical story valuing it at 24x reflecting our view that Infineon is moving through a cycle recovery. Using a SOTP and assuming a 10% WACC, we value IFX at €91.

Risks to Upside

- Faster than expected recovery of industrial output & consumer sales
- Longer autos semi cycle than normal & better pricing power with OEMs
- Greater deployment of power semis to the data centre than expected

Risks to Downside

- Sustained weakness in global automotive sales and/or PMIs
- Capex ramp leads to over-capacity and impairs future returns
- Backlog slowdown
- Chinese designs limiting longer term share expansion

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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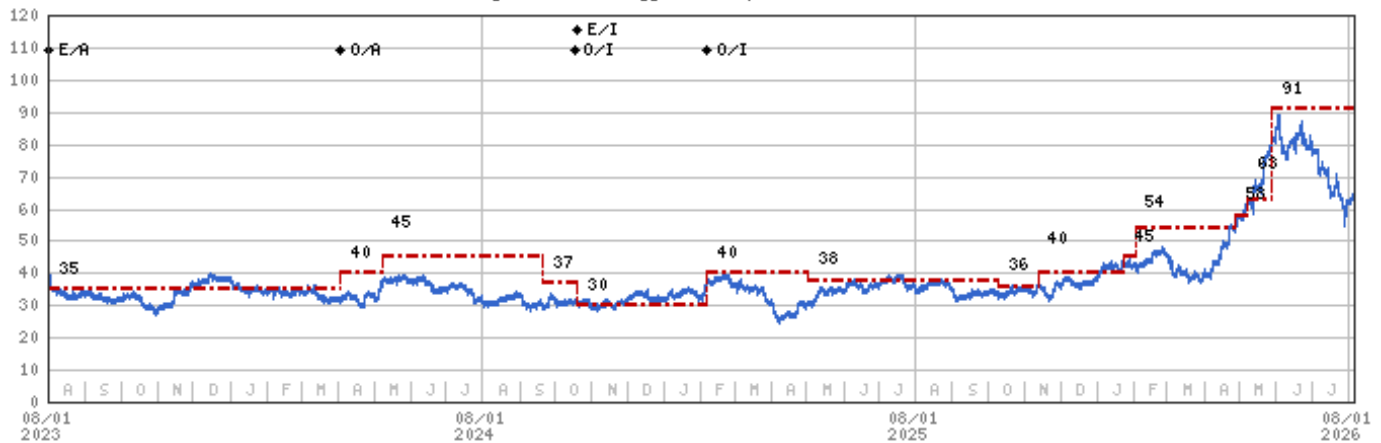
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Infinion Technologies AG (IFXGn.DE) - As of 08/05/26 GMT in EUR
Industry : Technology - European Semiconductors



Stock Rating History: 8/1/21 : O/I; 12/8/21 : E/I; 2/8/22 : NA/I; 11/1/22 : NA/NR; 11/7/22 : E/A; 4/3/24 : O/A; 10/17/24 : O/I; 10/20/24 : E/I; 2/6/25 : O/I

Price Target History: 4/15/21 : 38; 8/3/21 : 39; 11/10/21 : 42.5; 12/8/21 : 43; 2/8/22 : NA; 11/7/22 : 32.5; 1/31/23 : 35; 4/3/24 : 40; 5/8/24 : 45; 9/20/24 : 37; 10/20/24 : 30; 2/6/25 : 40; 5/2/25 : 38; 10/9/25 : 36; 11/12/25 : 40; 1/23/26 : 45; 2/2/26 : 54; 4/27/26 : 58; 5/7/26 : 63; 5/28/26 : 91

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Technology - European Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/04/2026)
Lee Simpson		
ASML Holding NV (ASML.AS)	O (09/22/2025)	€1,472.60
Infineon Technologies AG (IFXGn.DE)	O (02/06/2025)	€63.72
STMicroelectronics NV (STMPA.PA)	O (03/26/2026)	€46.89
Nigel van Putten		
Aixtron SE (AIXGn.DE)	E (05/25/2023)	€38.44
ASM International NV (ASML.AS)	O (06/19/2024)	€810.80
BE Semiconductor Industries NV (BESI.AS)	O (11/07/2022)	€217.70
Melexis N.V. (MLXS.BR)	E (02/05/2026)	€70.85
Nordic Semiconductor ASA (NOD.OL)	E (02/10/2025)	NKr 165.30
Soitec SA (SOIT.PA)	O (03/26/2026)	€120.10
VAT Group AG (VACN.S)	E (03/21/2025)	SFr 626.40

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.